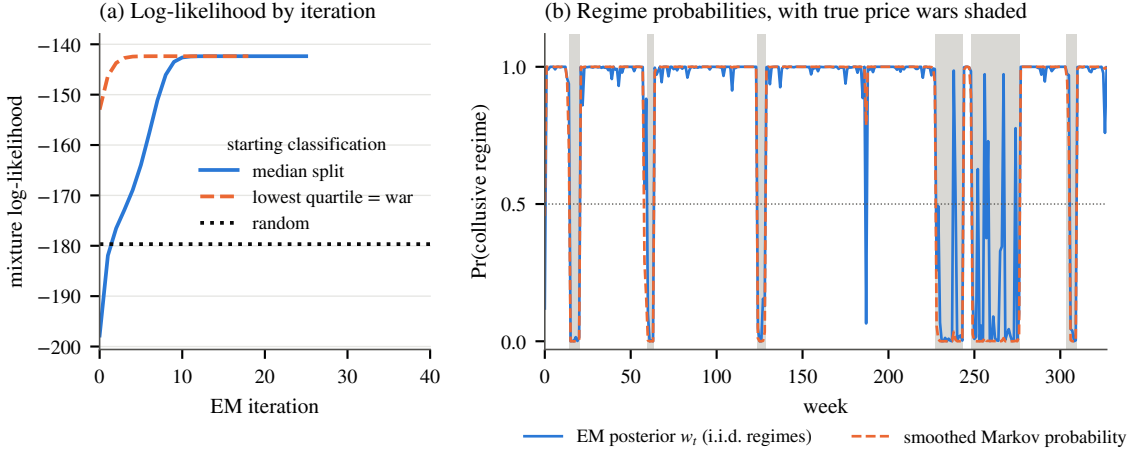
(a) Log-likelihood by iteration
mixture log-likelihood
−140
−150
−160
−170
−180
−190
−200
0
10
20
30
40
EM iteration
starting classification
median split
lowest quartile = war
random
(b) Regime probabilities, with true price wars shaded
Pr(collusive regime)
1.0
0.5
0.0
0
50
100
150
200
250
300
week
EM posterior w_t (i.i.d. regimes)
smoothed Markov probability